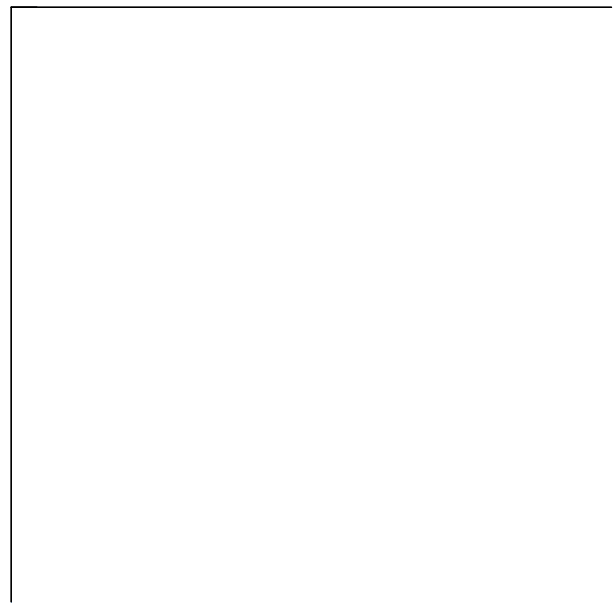




TATA

This project is a part of the internal assessment for the subject **Business Policy & Competitive Strategy**. I have developed a Porter's Five Forces analysis for the organization. I identified strategic strengths and weaknesses and identified core competencies of the organization. The company that I have taken into account to analysis the Porter's Five Forces is the **Tata Motors**. The Specific product that I will be taking into analysis is the **NANO CAR**. This segment has a great growth potential in developing countries, especially in a country like India.

1. Potential
2. Buyer
3. Substit
- a.
- b.
4. Suppl
5. Other

A brief Info

The Tata Nano, developed by Tata Motors, aims to be a small, efficient, and affordable city car. It was



2008, at Pragati Maidan in New Delhi, India. Nano had a commercial launch on March 23, 2009 and, a booking period from April 9 to April 25, generating more than 200,000 bookings for the car. The sales of the car will begin in July 2009, with a starting price of Rs 115,000 (rupees), which is approximately equal to UK£1,467 or US\$2,421 as of June 2009. This is cheaper than the Maruti 800, its main competitor and next cheapest Indian car priced at 184,641 Rupees. Tata had sought to produce the least expensive production car in the world — aiming for a starting price of Rs.100,000 (approximately US\$2,000 in June 2009).

Porter's 5 Forces Model of the NANO car

There is continuing interest in the study of the forces that impact on an organisation, particularly those that can be harnessed to provide competitive advantage. The ideas and models which emerged during the period from 1979 to the mid-1980s were based on the idea that competitive advantage came from the ability to earn a return on investment that was better than the average for the industry sector. As Porter's 5 Forces analysis deals with factors outside an industry that influence the nature of competition within it, the forces inside the industry (microenvironment) that influence the way in which firms compete, and so the industry's likely profitability is conducted in



Porter's five forces model.

BARRIERS TO ENTRY

- **Time and cost of entry** – Time is most essential thing while launching a product in any market. The launch of the NANO is quite viable as the demand of the small

car is on the rise in the market. By the cost of the entry we mean the initial capital required to set up a new firm is very high, it makes the chances of the chances of new entrants are very less.

- **Knowledge and Technology** - Ideas and Knowledge that provides competitive advantage over others when patented, preventing others from using it and thus creates barrier to entry. The TATA motors have great knowledge/ experience in the automobile industry and has renowned technological advantage because of the recent acquisition and mergers.
- **Product Differentiation and Cost Advantage** – The new product has to be different and attractive to be accepted by the customers. Attractiveness can be measured in the terms of the features , price etc. At this level the price of the NANO car was one thing that is attracting customers. And above all this the image , trust the name TATA carries with it.
- **Government Policy and Expected Retaliation** - Although government's job is to preserve free competitive market, it restricts competition through regulations and restrictions. The government tried to promote the TATA Motors to start a plant by providing land and tax rebates. But the unexpected retaliation by the local people surface in the setting up of the plant which costed the company a lot.
- **Access to Distribution Channels** – When a new product is launched a well developed distribution is must for its success. The TATA motors had a advantage of well established distribution channel across the world.

BUYERS

- **Switching Costs** - If switching to another product is simple and cheap the customers does not think much before doing it. In case of NANO car the switching cost from bike to car is too high. Thus increasing the demand of the car many fold.
- **Number of customers/ Volume of sales** - If there are few buyers then they are able to dictate the terms. They pull down the cost by Bargaining. The bargaining

power of buyer is high as there are lot of choice available to the buyer and the service do not vary from one manufacturer to the other. They force the manufactures to improve the quality. All this can be clearly seen in the case of NANO car the price tag at which it has been offered or the quality of the NANO car no compromises has been done at any front.

- **Brand Image** - The brand image of the TATA and the segment in which the NANO has been the most attractive thing in the entire package.

SUPPLIERS

- **Number and Size of Suppliers** – A company to manufacture its products requires raw material, labor etc. If there are few suppliers providing material essential to make a product then they can set the price high to capture more profit. Powerful suppliers can squeeze industry profitability to great extend. In case of NANO the supplier are limited and the size of the suppliers are big enough to bring about the controlling power in the price of the car. The NANO car has more than 128 suppliers in all and the major portion of the building cost of the car is the parts supplied by the suppliers.
- **Unique Service / Product** - Suppliers' products have few substitutes. Supplier industry is dominated by a few firms. The some parts of the NANO car are obtain from the supplier who them are big enough and limited substitutes are available against them. So the entire production line depends upon them only.

- **Ability to substitute** - Suppliers' products have high switching costs. In many case even when substitute are available its not that easy to opt for substitute as the next product in the assembly line depends upon it. If the change in the any part is brought about the long list of depended parts also have to be changed , which in most cases is not feasible to do.

SUBSTITUTES

- **Price band** - The threat that consumer will switch to a substitute product if there has been an increase in price of the product or there has been a decrease in price

of the substitute product. If the price of the NANO car will increase the main expected customers ie the one switching from bike to car will not move to car and will remain in the bike only. Thus the price is kept checked in this manner.

- **Substitutes performance** - The performance of the substitute sector will also play a important role in the success of the NANO car. If the price of the Bike segment increases or the price band of the small segment fall , it will have effect on the quantity required in the market. Its just on the price but also the features and the other services associated or it may be the status symbol story. The success of the electric car segment with player like REVA can also effect the demand of the NANO.
- **Buyers willingness** - Products with improving price/performance tradeoffs relative to present industry products. It will determine the willingness of the buyer to but the NANO car. The willingness of the customers to go forward try the new product in the market ie 'NANO'. They might be willing to go for the test products like Maruti 800 , Santro etc.

COMPETITIVE RIVALRY

- **Number and Diversity of Competitor** - This describes the competition between the existing firms in an industry. the current

scenario, the small car market in India is very competitive with players like Maruti Suzuki, Tata Motors, Hyundai etc. which was pretty much dominated by Maruti. But with launch of Nano the 1 lakh car the whole momentum of the market has shifted. Now to be competitive in market other companies have to either slash rates of their existing model or have to go back to the drawing board and build again.

- **Price Competition** - Advertising battles may increase total industry demand, but may be costly to smaller competitors. Products with similar function limit the prices firms can charge. Price competition often leaves the entire industry worse off. NANO is the only player so it has the price freedom but as the Maruti and Honda are also planning to launch the car in the same segment the price competition will start.
- **Exit Barriers** – Even if the product fails in the market its not that easy for the company to exit the market just like that because of the heavy investment it has made in the initial stage. If the NANO fails or falls flat the TATA motors will not be in a state to slow done the product even when NANO production line can be used by the other products after few modification as for NANO only the new product line were setup and huge cost were incurred.
- **Product Quality** - Increasing consumer warranties or service is very common these days. To maintain low cost, companies consistently has to make manufacturing improvements to keep the business competitive. This requires additional capital expenditure which tends to eat up company's earning. On the other hand if no one else can provide products/ services the way you do you have a monopoly. NANO enjoys the monopoly are there are no competitors in this segment.

TATA MOTORS STRENGTHS

- The **internationalisation strategy** so far has been to keep local managers in new acquisitions, and to only transplant a couple of senior managers from India into the new market. The benefit is that Tata has been able to exchange expertise. For example after the Daewoo acquisition the Indian company learned work discipline and how to get the final product 'right first time.'
- Tata Motors Limited acquired **Daewoo Motor's** Commercial vehicle business in 2004 for around USD \$16 million.
- The company has had a successful alliance with Italian mass producer **Fiat** since 2006. This has enhanced the product portfolio for Tata and Fiat in terms of production, knowledge exchange , logistics and its infrastructure.
- In the summer of 2008 Tata Motor's successfully purchased the **Land Rover and Jaguar** brands from Ford Motors for UK £2.3 million. Two of the World's luxury car brand have been added to its portfolio of brands, and has undoubtedly off the company the chance to market vehicles in the luxury segments.
- NANO is the cheapest car in the World.

- The range of Super **Milo fuel efficient buses** are powered by super-efficient, eco-friendly engines.

TATA MOTORS WEAKNESS

- The company's passenger car products are based upon **3rd and 4th generation platforms**, which put Tata Motors Limited at a disadvantage with competing car manufacturers.
- Despite buying the Jaguar and Land Rover brands Tata has not got a foothold in the **luxury car segment** in its domestic, Indian market. The brand associated with commercial vehicles and low-cost passenger cars to the extent that it has isolated itself from lucrative segments in a more **aspiring India**.
- Other competing car manufacturers have been in the passenger car business for 40, 50 or more years. Therefore Tata Motors Limited has to **catch up in terms of quality and lean production**.
- **Sustainability and environmentalism** could mean extra costs for this low-cost producer. This could impact its underpinning competitive advantage. Obviously, as Tata globalises and buys into other brands this problem could be alleviated.